

Although I catalogued downward breakouts in both bull and bear markets, they were too few to present here.

Reversal (R), continuation (C) occurrence. Most scallops behaved as continuations of the prevailing price trend. About a third (31% in bull markets and 38% in bear markets) acted as reversals.

Reversal/continuation performance. Scallops acting as reversals performed better than did those acting as continuations, especially in bear markets. You might want to keep this in mind to give yourself a trading edge.

Average rise. The ascending and inverted scallop is a bullish pattern. Scallops in bull markets perform almost twice as well as bear market ones, even though both have upward breakouts.

Standard & Poor's 500 change. In bull markets, the S&P 500 index climbed an average of 13%. This figure compares to an average rise of 45% for scallops over the same period. The strongly bullish market may be responsible for the large average rise of scallops.

Table 58.2 General Statistics

Description	Bull Market	Bear Market
Number found	1,776	290
Reversal (R), continuation (C) occurrence	31% R, 69% C	38% R, 62% C
Reversal, continuation performance	47% R, 45% C	32% R, 26% C
Average rise	45%	28%
Standard & Poor's 500 change	13%	−2%
Days to ultimate high	264	102
How many change trend?	62%	56%

In bear markets, the index declined 2% compared with a rise of 28% for inverted scallops. The market probably held down scallop performance in individual stocks.

Days to ultimate high. How long did it take price to reach the ultimate high? In bull markets, the rise took 9 months. In bear markets, it took less than half that, or about 3.5 months. If you crunch the numbers, the rise in